Proponent's Argument

Prop B will ensure that a San Francisco Public Bank is fiscally responsible, independent from political influence, and serves San Francisco's priorities.

A Public Bank puts the people of San Francisco over private profits to finance the things we need. The shareholders would be the people of San Francisco, so we benefit not only from our bank's profits but also the San Francisco projects it supports.

Prop B is a crucial step in creating a Public Bank. A Public Bank will provide affordable loans for:

- Affordable housing development,
- Affordable homeownership,
- Small business development,
- Environmental sustainability, and
- Environmental justice.

Prop B ensures that the Public Bank will be run by banking professionals, not politicians, and creates a public oversight body, so every San Franciscan has the opportunity to monitor and provide input. A public bank is about making sure San Franciscans' money benefits San Franciscans.

Passing Prop B now allows us to take advantage of the time-limited state law that enables local cities to create public banks. A public bank creates a powerful new tool to address some of our city's most urgent priorities. Public banking is a proven development model. Globally 25% of banking assets are held in public banks, and Germany holds 40% of its banking assets in public banks.

Prop B establishes the purpose and structure of a public bank. Prop B is not a tax, and will not raise taxes for San Franciscans.

The San Francisco Foundation
San Francisco Public Bank Coalition
District 11 Supervisor Chyanne Chen
District 5 Supervisor Bilal Mahmood
District 7 Supervisor Myrna Melgar
District 8 Supervisor Rafael Mandelman
District 9 Supervisor Jackie Fielder
District 10 Supervisor Shamann Walton
San Francisco Labor Council
San Francisco Climate Emergency Coalition
Affordable Housing Alliance
San Francisco Tenants Union

Rebuttal to Proponent's Argument

San Francisco's financial support for housing, infrastructure and small business is limited for good reason. Proposition B empowers the far left to dismantle and politicize those limits.

A "public bank" is a politically directed lending machine that puts billions of taxpayer dollars at risk. The Controller estimates $310-$460 million just to capitalize and operate it. Once the Bank takes deposits, the City can park rainy-day funds and investment-pool reserves inside it, multiplying the risk by lending and leverage. The Bank can issue securities bought by the City itself. High-risk loans inevitably go bad; the losses land on taxpayers.

Public banking has a litany of failure. The Los Angeles Community Development Bank collapsed under a mountain of bad loans. Any bank whose mission is climate-justice, racial preferences and loans refused by private lenders is fundamentally unsound. California law requires FDIC insurance; no public bank has successfully obtained it while pursuing this radical agenda.

Nothing in Proposition B meaningfully checks the Bank's political priorities. Pressure will build for reparations-style lending and loans to non-citizens, unleashing a smear of red ink across the general fund.

This is the same socialist model in Congresswoman Rashida Tlaib's Public Banking Act, co-sponsored by Ilhan Omar and the Squad.

Don't be a piker.

Vote No on Proposition B.

Larry S. Marso, Esq.

Mr. Marso, a Nob Hill resident, ran financial institution M&A practices at two Wall Street investment banks, represented banks and insurers as a New York attorney, and served as an economic analyst at the Federal Reserve Board.

Arguments are the opinions of the authors and have not been checked for accuracy by any official agency.
Arguments are printed as submitted. Spelling and grammatical errors have not been corrected.

Opponent's Argument

Vote No on Proposition B.

Proposition B asks San Francisco voters to create a City Hall-controlled public bank and municipal finance corporation — without any dedicated funding, without proven demand, and at a time when the City already faces massive budget shortfalls.

Supporters claim this will unlock affordable housing and small business lending. In reality, it creates a new politically appointed entity with the power to take significant financial risks using public resources. The City's own working group previously estimated hundreds of millions of dollars would be needed to capitalize such an institution. Proposition B provides none of that capital. It simply builds the structure and leaves taxpayers holding the bag later.

San Francisco already has tools to support housing and small businesses through existing programs, nonprofit lenders, and credit unions. Creating a new City-controlled bank adds bureaucracy, political risk, and potential conflicts of interest without solving the underlying problems of high costs and slow permitting.

We cannot afford another ambitious, underfunded experiment. Vote No on Proposition B.

— No on Prop B – San Franciscans for Fiscal Responsibility

— Leslie Huang, Dorothy Joan Leone, Stephanie Jeong, and Kathleen Louise Trewin

Rebuttal to Opponent's Argument

Proposition B is a simple measure. It establishes a San Francisco Public Bank, which could help fund housing, green energy, and small businesses, and sets rules to prevent the bank or its funds from being misused.

As the opponents point out, **Prop B is NOT a tax and will not raise taxes on residents or businesses.**

Opponents claim that the bank would be rife with political instability and risky lending, but **that is untrue.** Instead, it would be the most regulated bank in America, subject to all typical banking regulations of private banks, in addition to California regulations and the oversight systems of Prop B.

Prop B empowers San Francisco to pursue funding for our bank from state, federal, and philanthropic sources. Opportunities like the Greenhouse Gas Reduction Fund in Biden's Climate bill present billions of dollars San Francisco could access. These are opportunities we have missed out on because we do not have a MFC or Public Bank. **We must pass Prop B to be ready for these generational opportunities.**

A Public Bank would support our existing nonprofit, city, and credit union ecosystem, making the most efficient use of taxpayer money.

We can't afford to miss this opportunity to build an economic engine to stabilize San Francisco and make sure money is going where it's needed, for housing, green energy, and supporting our small businesses.

Matt Dorsey, Supervisor
Chyanne Chen, Supervisor
San Francisco Labor Council
San Francisco Public Bank Coalition
The San Francisco Foundation

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